

Using blockchain allowed all business partners to access the same temperature data without requiring central control. the result is a happy customer with peace of mind about food in their carts. With blockchain, shipment data will be stored publicly or pseudo anonymously in a shared database. Now with blockchain you can track a chronological history of any asset in transit during manufacturing and change of ownership. No one can tamper with the information because everyone has the copy of the same data as it involves an append-only database.

## Smart Contracts

The backbone of any blockchain enterprise that solves the problem of supply chain is the concept of smart contracts. But what exactly are smart contracts. Let us have a closer look.

Smart contracts (also called distributed apps) are very popular nowadays. The term “smart contract” was first used by Nick Szabo in 1997, long before Bitcoin was created.

Szabo is a computer scientist, law scholar and cryptographer. In simple terms: he wanted to use a distributed ledger to store contracts. Now, smart contracts are just like contracts in the real world. The only difference is that they are completely digital. In fact a smart contract is actually a tiny computer program that is stored inside a blockchain. Let's take a look at an example to understand how smart contracts work.

You probably are familiar with Kickstarter, the large fundraising platform. Product teams can go to Kickstarter, create a project, set a funding goal and start collecting money from others who believe in the idea. Kickstarter is essentially a third party that sits between product teams and supporters. This means that both of them need to trust Kickstarter to handle their money correctly. If the project gets successfully funded, the project team expects Kickstarter to give them the money. On the other hand, supporters want their money to go to the project if it was funded or to get a refund when it hasn't reached its goals. Both the



'Smart contract is a digital agreement between one or two parties'